Market Watch

Blue Wave: Democrats sweep the US midterms

Summary

Event: The Democrats gained control of the House of Representatives and the Senate at the US midterm elections that took place this week.

Our View: With the US government now no longer under unified control of the Republicans, gridlock has returned to Washington. **We believe investors should not overreact to these results and should stay invested**.

In equities, investors should continue to diversify their equity exposure into more defensive sectors. As we transition to mid-cycle for the equity markets, we expect stocks to continue to deliver positive returns in the 8-10% range per annum, a downshift from the torrid pace of gains in the earlier part of the cycle.

In bonds, income remains attractive given recent spread widening. We favour non-hyperscaler investment grade corporate bonds at the three to seven-year part of the curve. We continue to expect the US dollar to remain range-bound in the near term, as we expect two more rate hikes from the Fed, but as this mini rate hike cycle ends in the second quarter of 2027, the USD index (DXY) is likely to depreciate towards 98.5 as markets start to anticipate a Fed rate cut in the second half of next year.

Oil is likely to rebound in the short-term on heightened geopolitical risk, but as supply chains adapt to the current situation and Congress exercises oversight on defense spending, WTI prices are likely to drift towards our 12-month target of USD 80 per barrel.

Democrats made solid gains across the Senate, House of Representatives and State Governors

Results reported as at 7:45PM Singapore Time

US midterm election results			
	Senate	House of Representatives	State Governors
Democrats	54 (Gained 7)	228 (Gained 25)	28 (Gained 5)
Republicans	44 (Lost 7)	139 (Lost 25)	20 (Lost 5)

Source: The Wall Street Journal, Standard Chartered

Major implications of Democrat control of Congress

1) **Fiscal expansionary policies may slow.** Democrats are now in position to block any new tax cuts or spending plans from the Trump administration. At the same time, any fiscal policies proposed by Democrats may also face Trump's veto. Hence the fiscal trajectory of the US will likely remain stuck over the next two years. As we get into the second half of 2027, the US debt ceiling will once again loom, and gridlock could potentially bring back government shutdowns. However, as they have always done in the past, compromise will ultimately prevail, in our opinion.

2) **Trump remains in control of foreign policy.** With the midterms now out of the way, could Trump decide to re-start combat operations with Iran? We believe there is a risk that US and Israel – now that both countries' have concluded important elections – will once again be tempted to restart combat operations to force an end to the conflict. However, the duration of any renewed hostilities may be limited by Congress next year as the Democrats will likely withhold funding for further military operations. In the near-term, oil prices may experience renewed volatility before stabilising at a lower level next year. The introduction of new tariffs on trading partners may prove harder with Democrat oversight.

3) **AI data centre moratoriums could grow, though model development regulatory changes would be harder to pass.** While the headlines have focused on the House and Senate results, one important development has also occurred at the gubernatorial level. Notably, Democrats have won the governor races in Texas and Georgia, two big data centre states. As data centre build out permits are largely decided at the local state level, this will have important ramifications for build out plans next year. However, any Democratic proposals to regulate AI model developments would need to be signed off by President Trump, who continues to wield veto power on any such proposals.

Asset class strategy

Equities: Remain invested and continue to diversify. While investors initially overreacted, President Trump's relatively conciliatory response has provided some welcome relief, helping markets recover strongly from their pre-market lows. **Hence, we recommend investors avoid overreacting, remain invested and continue to diversify their equity exposure across sectors and regions.**

A few themes stand out from the early pre-market reaction to the mid-term elections. On the positive side, defensive stocks continue to fare well, while themes favoured by Democrats are also outperforming. Clean energy is a notable beneficiary, with solar stocks among the biggest winners

Policy uncertainty and a change in the innovation cycle is consistent with our view of a mid-cycle transition, where equity returns moderate but remain positive

Comparison of recent equity bull markets

Cycle	Period	S&P annualised returns	Control of chambers	Innovation cycle
Early cycle	Jan 2009 to Jan 2015	19.1%	United / divided	Smartphone / cloud ramp
Mid-cycle	Jan 2015 to Jan 2017	8.3%	Opposition	Smartphone / cloud consolidation
Early cycle	Jan 2023 to Jan 2027	20.5%	United / divided	AI ramp
Mid-cycle	Jan 2027 to Jan 2029	??	Opposition	AI consolidation

Source: FactSet, Bloomberg, Standard Chartered

Our opportunistic ideas have a more defensive stance on average

Equity opportunistic ideas

Idea	Inception date
Global High Dividend	18-Jun-26
*US Healthcare	12-Oct-26
*MSCI Switzerland	29-Oct-26
Euro Area Banks	27-Aug-26
Japan Banks	18-Jun-26

Source: Standard Chartered. *New idea

Diversify across sectors during mid-cycle

The four growth pillars of the S&P 500

	Technology	Financials & Real Estate	Resources	Healthcare & others
Preferred US sectors	Information Technology	Financials	Materials	Healthcare
Other exposures	Comm. Services Consumer Discretionary	Real Estate	Industrials Energy Utilities	Consumer Staples Others
Share of S&P 500 2027 EPS	47.6%	17.9%	20.2%	14.3%

Source: FactSet, Bloomberg, Standard Chartered

today. Affordability-related themes are also rallying, including companies that could benefit from potential tariff rollbacks. Medicaid-related stocks are also moving higher on expectations that potential policy changes could provide a tailwind for the healthcare sector.

On the negative side, semiconductor weakness continues amid concerns around potential data centre moratoriums. Our AI capex estimates remain conservative relative to consensus, but with a potential reset in expectations around data centre spending, investors should remain selective. After downgrading semiconductors last month, we have maintained a conservative stance on the industry, with a lower recommended allocation compared to September.

While we believe the mid-term election outcome is not a complete surprise to markets, particularly given pre-election polling and the recent weakness in both the S&P 500 and Nasdaq, the overnight correction highlights how complacent investors had become, with the VIX initially surging more than 10% in pre-market trading, although down from intra-day highs after President Trump's comments.

As we have highlighted in our recent notes on the transition to mid-cycle, this phase is typically characterised by greater political headwinds. The mid-term election outcome reinforces the trend. The experience of 2015-2017, highlighted in the second table, offers a useful historical parallel. Despite the knee-jerk reaction, investors should not overreact based on one day's moves. While we had trimmed equities to a core allocation last week, we continue to expect equities to deliver mid-to-high single-digit returns per annum during the mid-cycle, even amid political headwinds, supported by steady underlying earnings growth in both 2027 and 2028.

So, what should investors do to navigate the next few months before the newly elected representatives are sworn in and take control of the House and Senate? As we have been highlighting in recent notes, equity markets should still deliver positive returns, albeit at a more moderate pace. Hence, we recommend staying invested but diversification remains key to navigating the next phase of the cycle.

FX: DXY near-term support at 100.7, 12-month target at 98.5. A Democratic sweep potentially removes the legislative runway for further tariff escalation and for fiscal expansion, the two structural pillars of US exceptionalism that have anchored dollar demand in 2026. Reduced fiscal impulse compresses the growth and yield differential that has kept the US dollar well-bid all year. Additionally, potential Democratic restrictions on AI and data centre investment could weigh on US equity outperformance, which is likely to act as a secondary dollar-negative channel.

However, despite historical readings supporting a near-term DXY headwind from a Democratic sweep, the magnitude will

USD Index (DXY) weakened modestly

Currency	3 Nov 26 Price	4 Nov 26 Price	Post-Result % Change
DXY	101.9	101.4	-0.47%
EUR/USD	1.1	1.1	0.54%
GBP/USD	1.3	1.3	0.52%
AUD/USD	0.7	0.7	0.43%
USD/JPY	158.7	158.3	-0.26%

Source: Bloomberg, Standard Chartered

We expect further USD depreciation in 2027 as Fed policy pivots from two further hikes to one cut in H2 2027

DXY vs Weighted interest rate differentials



Source: Bloomberg, Standard Chartered

US government bond yields are generally lower after mid-term election results

US government bond yields

Yield (%)	2y	5y	7y	10y	30y
3 Nov 2026 - close	4.632	4.763	4.850	4.965	5.329
4 Nov 2026 - 6pm SGT	4.615	4.724	4.806	4.918	5.288
Change (bps)	-1.7	-3.9	-4.4	-4.7	-4.1

Source: Bloomberg, Standard Chartered

likely be modest and short-lived unless compounded by a weaker than expected non-farm payrolls report on Friday. We see the Fed narrative, not the election, as the dominant medium-term driver. Near-term we see USD index (DXY) support at 100.7, and retain our 12-month target at 98.5.

Fixed Income: Still attractive all-in yields; prefer investment grade corporates at three-to-seven year tenors to earn income and manage interest rate risk. The US Treasury bond market reaction appears to reflect a moderation in expectations of future economic growth after the election results. Yields at the intermediate end of the curve dropped the most, while the 30-year US yield moderated more modestly. We continue to expect two more Fed rate hikes between now and H1 2027 as still sticky inflation and the robust economy support further tightening.

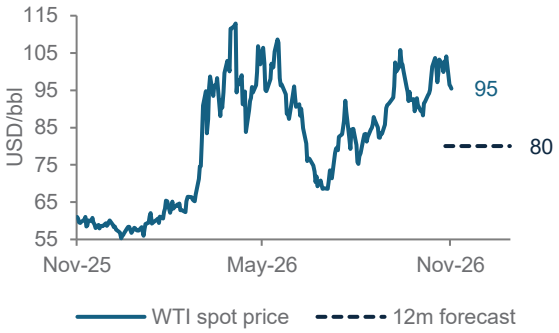
In the past few weeks, the US Treasury yield curve has broadly shifted downwards, after our opportunistic call to go long 10-year Treasuries at the end of September. We are of the view the ultra-long end downshift in yields is overdone (given the still challenging US fiscal trajectory) and would recommend investors who had earlier taken long duration exposures at the 20 to 30-year parts of the curve reduce their positions now. We continue to believe the 3 to 7-year part of the curve offers the most optimal balance of income and interest rate risk, particularly via investment corporate bonds.

Within corporate credit, we expect a potentially slower pace of AI data centre buildouts could marginally improve market technicals, as hyperscaler and tech sector bond issuance may slow (and reduce "crowding out" of other bond issuances). Conversely, from a credit perspective, we believe this dynamic may also make the data centre focused deals less viable, and would be cautious on some of this sector's lower quality names. Meanwhile, less AI capex dependent issuers continue to offer solid credit profiles amidst the still strong economy. High yield corporate spreads have widened in recent weeks but dispersion within the complex is wide, with BBs and Bs credit spreads staying relatively resilient, while CCCs have widened to distressed levels. For income-focused investors, we would recommend staying within the crossover range of between BBB-BB.

Commodities: As noted in the opening section, we believe there is a higher near-term risk of a restart of combat operations in Iran given the conclusion of the midterm elections. Given that, **we believe there is a risk that oil prices could see a short-term spike, despite recent diplomatic overtures from Iran. However, for 2027 we continue to expect oil to stabilise at lower levels**, as we think the Mideast situation should de-escalate given Democratic oversight of the defense budget, and the likely re-configuration of oil supply chains. On the margin, we are also closely monitoring regulatory developments in the US shale

We expect oil prices to drift towards USD 80 a barrel as oil supply chains adapt, and Congress restrains the US defense budget

WTI crude spot price vs our 12m forecast



Source: Bloomberg, Standard Chartered

oil industry as the Democrats may seek to introduce new regulations on the sector.

On gold, we view the recent change in control in the Congress as only having a marginal impact and thus stay Overweight. USD strength is a headwind (which is more dependent on Fed policy), but gold's sensitivity to real yields has eased amid continued central bank buying, led by China, and resilient investor demand.

— Jonathan Liang, CFA, *CIO, Fixed Income & FX*

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Market Watch

Blue Wave: Democrats sweep the US midterms

Summary

Event: The Democrats gained control of the House of Representatives and the Senate at the US midterm elections that took place this week.

Our View: With the US government now no longer under unified control of the Republicans, gridlock has returned to Washington. **We believe investors should not overreact to these results and should stay invested**.

In equities, investors should continue to diversify their equity exposure into more defensive sectors. As we transition to mid-cycle for the equity markets, we expect stocks to continue to deliver positive returns in the 8-10% range per annum, a downshift from the torrid pace of gains in the earlier part of the cycle.

In bonds, income remains attractive given recent spread widening. We favour non-hyperscaler investment grade corporate bonds at the three to seven-year part of the curve. We continue to expect the US dollar to remain range-bound in the near term, as we expect two more rate hikes from the Fed, but as this mini rate hike cycle ends in the second quarter of 2027, the USD index (DXY) is likely to depreciate towards 98.5 as markets start to anticipate a Fed rate cut in the second half of next year.

Oil is likely to rebound in the short-term on heightened geopolitical risk, but as supply chains adapt to the current situation and Congress exercises oversight on defense spending, WTI prices are likely to drift towards our 12-month target of USD 80 per barrel.

Democrats made solid gains across the Senate, House of Representatives and State Governors

Results reported as at 7:45PM Singapore Time

US midterm election results			
	Senate	House of Representatives	State Governors
Democrats	54 (Gained 7)	228 (Gained 25)	28 (Gained 5)
Republicans	44 (Lost 7)	139 (Lost 25)	20 (Lost 5)

Source: The Wall Street Journal, Standard Chartered

Major implications of Democrat control of Congress

1) **Fiscal expansionary policies may slow.** Democrats are now in position to block any new tax cuts or spending plans from the Trump administration. At the same time, any fiscal policies proposed by Democrats may also face Trump's veto. Hence the fiscal trajectory of the US will likely remain stuck over the next two years. As we get into the second half of 2027, the US debt ceiling will once again loom, and gridlock could potentially bring back government shutdowns. However, as they have always done in the past, compromise will ultimately prevail, in our opinion.

2) **Trump remains in control of foreign policy.** With the midterms now out of the way, could Trump decide to re-start combat operations with Iran? We believe there is a risk that US and Israel – now that both countries' have concluded important elections – will once again be tempted to restart combat operations to force an end to the conflict. However, the duration of any renewed hostilities may be limited by Congress next year as the Democrats will likely withhold funding for further military operations. In the near-term, oil prices may experience renewed volatility before stabilising at a lower level next year. The introduction of new tariffs on trading partners may prove harder with Democrat oversight.

3) **AI data centre moratoriums could grow, though model development regulatory changes would be harder to pass.** While the headlines have focused on the House and Senate results, one important development has also occurred at the gubernatorial level. Notably, Democrats have won the governor races in Texas and Georgia, two big data centre states. As data centre build out permits are largely decided at the local state level, this will have important ramifications for build out plans next year. However, any Democratic proposals to regulate AI model developments would need to be signed off by President Trump, who continues to wield veto power on any such proposals.

Asset class strategy

Equities: Remain invested and continue to diversify. While investors initially overreacted, President Trump's relatively conciliatory response has provided some welcome relief, helping markets recover strongly from their pre-market lows. **Hence, we recommend investors avoid overreacting, remain invested and continue to diversify their equity exposure across sectors and regions.**

A few themes stand out from the early pre-market reaction to the mid-term elections. On the positive side, defensive stocks continue to fare well, while themes favoured by Democrats are also outperforming. Clean energy is a notable beneficiary, with solar stocks among the biggest winners

Policy uncertainty and a change in the innovation cycle is consistent with our view of a mid-cycle transition, where equity returns moderate but remain positive

Comparison of recent equity bull markets

Cycle	Period	S&P annualised returns	Control of chambers	Innovation cycle
Early cycle	Jan 2009 to Jan 2015	19.1%	United / divided	Smartphone / cloud ramp
Mid-cycle	Jan 2015 to Jan 2017	8.3%	Opposition	Smartphone / cloud consolidation
Early cycle	Jan 2023 to Jan 2027	20.5%	United / divided	AI ramp
Mid-cycle	Jan 2027 to Jan 2029	??	Opposition	AI consolidation

Source: FactSet, Bloomberg, Standard Chartered

Our opportunistic ideas have a more defensive stance on average

Equity opportunistic ideas

Idea	Inception date
Global High Dividend	18-Jun-26
*US Healthcare	12-Oct-26
*MSCI Switzerland	29-Oct-26
Euro Area Banks	27-Aug-26
Japan Banks	18-Jun-26

Source: Standard Chartered. *New idea

Diversify across sectors during mid-cycle

The four growth pillars of the S&P 500

	Technology	Financials & Real Estate	Resources	Healthcare & others
Preferred US sectors	Information Technology	Financials	Materials	Healthcare
Other exposures	Comm. Services Consumer Discretionary	Real Estate	Industrials Energy Utilities	Consumer Staples Others
Share of S&P 500 2027 EPS	47.6%	17.9%	20.2%	14.3%

Source: FactSet, Bloomberg, Standard Chartered

today. Affordability-related themes are also rallying, including companies that could benefit from potential tariff rollbacks. Medicaid-related stocks are also moving higher on expectations that potential policy changes could provide a tailwind for the healthcare sector.

On the negative side, semiconductor weakness continues amid concerns around potential data centre moratoriums. Our AI capex estimates remain conservative relative to consensus, but with a potential reset in expectations around data centre spending, investors should remain selective. After downgrading semiconductors last month, we have maintained a conservative stance on the industry, with a lower recommended allocation compared to September.

While we believe the mid-term election outcome is not a complete surprise to markets, particularly given pre-election polling and the recent weakness in both the S&P 500 and Nasdaq, the overnight correction highlights how complacent investors had become, with the VIX initially surging more than 10% in pre-market trading, although down from intra-day highs after President Trump's comments.

As we have highlighted in our recent notes on the transition to mid-cycle, this phase is typically characterised by greater political headwinds. The mid-term election outcome reinforces the trend. The experience of 2015-2017, highlighted in the second table, offers a useful historical parallel. Despite the knee-jerk reaction, investors should not overreact based on one day's moves. While we had trimmed equities to a core allocation last week, we continue to expect equities to deliver mid-to-high single-digit returns per annum during the mid-cycle, even amid political headwinds, supported by steady underlying earnings growth in both 2027 and 2028.

So, what should investors do to navigate the next few months before the newly elected representatives are sworn in and take control of the House and Senate? As we have been highlighting in recent notes, equity markets should still deliver positive returns, albeit at a more moderate pace. Hence, we recommend staying invested but diversification remains key to navigating the next phase of the cycle.

FX: DXY near-term support at 100.7, 12-month target at 98.5. A Democratic sweep potentially removes the legislative runway for further tariff escalation and for fiscal expansion, the two structural pillars of US exceptionalism that have anchored dollar demand in 2026. Reduced fiscal impulse compresses the growth and yield differential that has kept the US dollar well-bid all year. Additionally, potential Democratic restrictions on AI and data centre investment could weigh on US equity outperformance, which is likely to act as a secondary dollar-negative channel.

However, despite historical readings supporting a near-term DXY headwind from a Democratic sweep, the magnitude will

USD Index (DXY) weakened modestly

Currency	3 Nov 26 Price	4 Nov 26 Price	Post-Result % Change
DXY	101.9	101.4	-0.47%
EUR/USD	1.1	1.1	0.54%
GBP/USD	1.3	1.3	0.52%
AUD/USD	0.7	0.7	0.43%
USD/JPY	158.7	158.3	-0.26%

Source: Bloomberg, Standard Chartered

We expect further USD depreciation in 2027 as Fed policy pivots from two further hikes to one cut in H2 2027

DXY vs Weighted interest rate differentials



Source: Bloomberg, Standard Chartered

US government bond yields are generally lower after mid-term election results

US government bond yields

Yield (%)	2y	5y	7y	10y	30y
3 Nov 2026 - close	4.632	4.763	4.850	4.965	5.329
4 Nov 2026 - 6pm SGT	4.615	4.724	4.806	4.918	5.288
Change (bps)	-1.7	-3.9	-4.4	-4.7	-4.1

Source: Bloomberg, Standard Chartered

likely be modest and short-lived unless compounded by a weaker than expected non-farm payrolls report on Friday. We see the Fed narrative, not the election, as the dominant medium-term driver. Near-term we see USD index (DXY) support at 100.7, and retain our 12-month target at 98.5.

Fixed Income: Still attractive all-in yields; prefer investment grade corporates at three-to-seven year tenors to earn income and manage interest rate risk. The US Treasury bond market reaction appears to reflect a moderation in expectations of future economic growth after the election results. Yields at the intermediate end of the curve dropped the most, while the 30-year US yield moderated more modestly. We continue to expect two more Fed rate hikes between now and H1 2027 as still sticky inflation and the robust economy support further tightening.

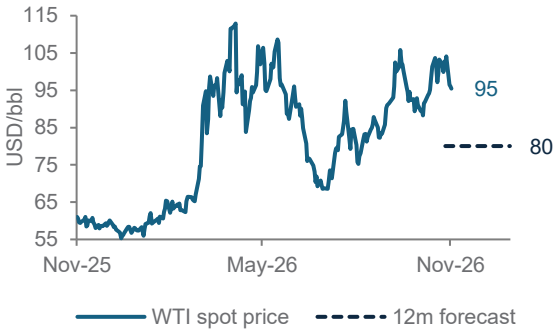
In the past few weeks, the US Treasury yield curve has broadly shifted downwards, after our opportunistic call to go long 10-year Treasuries at the end of September. We are of the view the ultra-long end downshift in yields is overdone (given the still challenging US fiscal trajectory) and would recommend investors who had earlier taken long duration exposures at the 20 to 30-year parts of the curve reduce their positions now. We continue to believe the 3 to 7-year part of the curve offers the most optimal balance of income and interest rate risk, particularly via investment corporate bonds.

Within corporate credit, we expect a potentially slower pace of AI data centre buildouts could marginally improve market technicals, as hyperscaler and tech sector bond issuance may slow (and reduce "crowding out" of other bond issuances). Conversely, from a credit perspective, we believe this dynamic may also make the data centre focused deals less viable, and would be cautious on some of this sector's lower quality names. Meanwhile, less AI capex dependent issuers continue to offer solid credit profiles amidst the still strong economy. High yield corporate spreads have widened in recent weeks but dispersion within the complex is wide, with BBs and Bs credit spreads staying relatively resilient, while CCCs have widened to distressed levels. For income-focused investors, we would recommend staying within the crossover range of between BBB-BB.

Commodities: As noted in the opening section, we believe there is a higher near-term risk of a restart of combat operations in Iran given the conclusion of the midterm elections. Given that, **we believe there is a risk that oil prices could see a short-term spike, despite recent diplomatic overtures from Iran. However, for 2027 we continue to expect oil to stabilise at lower levels**, as we think the Mideast situation should de-escalate given Democratic oversight of the defense budget, and the likely re-configuration of oil supply chains. On the margin, we are also closely monitoring regulatory developments in the US shale

We expect oil prices to drift towards USD 80 a barrel as oil supply chains adapt, and Congress restrains the US defense budget

WTI crude spot price vs our 12m forecast



Source: Bloomberg, Standard Chartered

oil industry as the Democrats may seek to introduce new regulations on the sector.

On gold, we view the recent change in control in the Congress as only having a marginal impact and thus stay Overweight. USD strength is a headwind (which is more dependent on Fed policy), but gold's sensitivity to real yields has eased amid continued central bank buying, led by China, and resilient investor demand.

— Jonathan Liang, CFA, *CIO, Fixed Income & FX*

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Market Watch

Downgrade of global equities to a Core allocation

Summary

Event: We are downgrading global equities from Overweight to a Neutral/Core allocation. We continue to maintain a Neutral allocation to fixed income, Overweight on Gold and Underweight on Cash. There are more details in our Global Market Outlook publication on 30 October 2026.

What does the equity downgrade mean?

This downgrade implies a **slightly lower allocation** to global equities within a diversified portfolio. For our CIO Foundation Balanced portfolio, this would imply an equity allocation of 52.5%, down from 53.2%. We continue to expect **positive returns for global equities** in the coming 6-12 months, though equity investors may need to recalibrate expectations lower, compared with the 15-20% annualised gains experienced in the last few years. Our capital market assumptions still suggest a mid-to-high single digit annual returns over the next few years, consistent with a **transition to a mid-cycle** bull market. Consensus estimates point to 16% earnings growth for global equities in 2027, which should overcome various headwinds to deliver positive returns for equities over the next 12 months. Investors should thus, continue to **maintain exposure to equities** within a diversified portfolio.

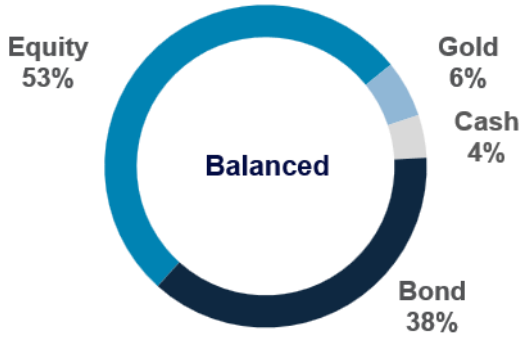
In addition, we see a **changing playbook** to prepare for higher volatility, more active management and greater diversification, as discussed below.

What does it mean for regional equities positioning?

Within a global equities portfolio, **we remain Overweight US and Asia ex-Japan (AxJ) equities**, which are expected to deliver the highest earnings growth in 2027 amongst the major regions. This growth is led by the technology sector, which carries the largest weight in both regions. Within the diversified equities portfolio, we maintain Core allocations to

Allocation to global equities decrease to 52.5% from 53.2% for our CIO Foundation Balanced portfolio

Foundation tactical asset allocation



Source: Standard Chartered
Allocations in the chart are rounded to the nearest whole number

Our forecasts imply 9% upside in the S&P 500 over the next 12m, as of 29 October 2026

Index forecasts

Index	12m forecast*	Our views
S&P500	8,400	US ▲
Nasdaq 100	32,400	
Euro Stoxx 50	6,580	Europe ex-UK ◆
FTSE 100	11,170	UK ▼
Hang Seng	24,600	China ◆
Nifty 50	25,000	India ▲
Nikkei 225	68,500	Japan ◆

Legends: ▲ Overweight | ◆ Core | ▼ Underweight
Green / red colour indicates the upward / downward change from the prior view
* Target prices created as of 30 October 2026, using the preceding session's closing prices
Source: Bloomberg, Standard Chartered

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Euro area equities, which offer lower valuations, and Japan equities, which is backed by a reflating economy. We are Underweight UK equities, where the sector composition offers lower growth prospects in 2027. Within the AxJ region, we are **Overweight Taiwan** equities, with attractive structural growth driven by its semiconductor industry. We are also **Overweight India** equities, which offers diversified non-tech growth drivers. Taiwan and India equities both generate attractive returns on equity. We maintain Core allocations to China equities, with low valuations, and Korea equities, with explosive earnings growth in its semiconductors industry, but volatile price movements. We are Underweight ASEAN, which offers relatively lower earnings growth.

What are the implications for equity sectors?

We are Overweight these sectors globally: US information technology, US healthcare, US financials, US materials, Europe ex-UK financials, and Japan financials.

A framework we use is to break the market into four key sector building blocks. **Tech** is the largest block, encompassing the Information Technology, Communication Services and Consumer Discretionary sectors. Put differently, the segment spans five major industries: semiconductors, hardware, internet, software, and IT services. Within the US market, we expect this segment to deliver c.30% earnings growth in 2027, extending the strong momentum seen in 2026.

Financials and Real Estate are the next building block, comprising these two sectors. We expect this segment to continue delivering low-teens earnings growth in 2027, supported by resilient economic activity and healthy credit trends.

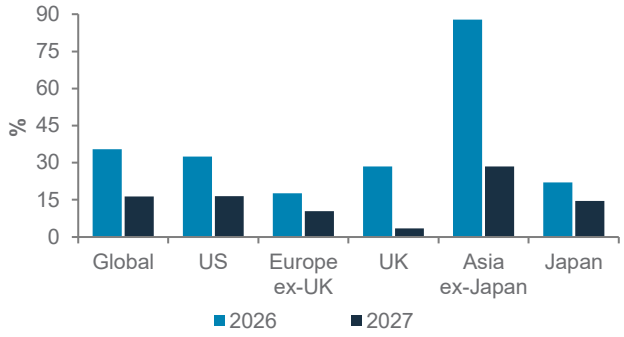
Resources include companies across four sectors: Industrials, Materials, Energy, and Utilities. We expect the segment to generate 10-15% earnings growth in 2027, although Energy is likely to remain the largest drag on overall growth due to tougher comparisons and softer energy price assumptions for 2027.

Healthcare & Others consists primarily of Healthcare and Consumer Staples. We expect mid-teen earnings growth for the segment in 2027, with a rebound in healthcare earnings representing a potential upside surprise.

Our Overweight sector exposures are drawn from each of the four key blocks above. Unlike the last few years, with concentrated gains from Tech providing market leadership, we see our downgrade in global equities also reflecting a **broadening in market leadership** towards each of the other sector blocks apart from Tech.

US and Asia ex-Japan would continue to lead in earnings growth in 2027

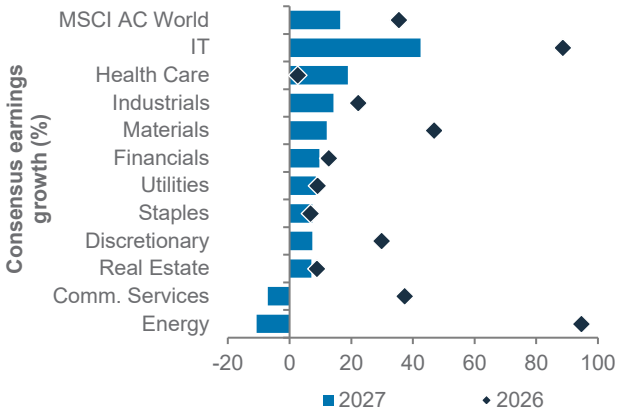
2026 and 2027 consensus earnings growth estimates for MSCI equity regional indices



Source: FactSet, Bloomberg, Standard Chartered

Global equities continue to be supported by strong earnings growth in 2027, led by technology and healthcare sectors

2026 and 2027 consensus earnings growth estimates for MSCI AC World sectors



Source: FactSet, Bloomberg, Standard Chartered

As structural themes such as AI transition from the rapid buildout phase towards monetisation, diversified exposure across sectors and regions should become increasingly important.

What are the implications for equity opportunistic ideas?

We have opportunistic ideas on Global High-Dividend equities, US healthcare, Euro area banks, MSCI Switzerland and Japan banks. The selection represents a more defensive stance currently, with an average beta of below 1 relative to global equities (MSCI AC World), but attractive drivers nonetheless, for each of the ideas.

Global High-Dividend offers higher-income equity allocation with historically lower volatility than global equities. **US healthcare** is supported by wider adoption of obesity treatments, advances in oncology and innovative medical devices, that support earnings growth. **Euro area banks** continue to see steady earnings growth adding to their excess capital, which is being returned to shareholders via attractive dividend and share buyback yields. **Japan banks** continue to enjoy net margin expansion from BoJ policy normalisation, as well as corporate governance improvements. **MSCI Switzerland** is a newly initiated idea for investors seeking defensive exposure. Healthcare and consumer staples accounts for more than half the index weight, providing exposure to relatively resilient demand that is more insulated from economic cycles and AI trends. It also has a sizeable financial sector supported by steady wealth management growth and well-capitalised insurers with disciplined underwriting and resilient premium income.

We see the case for **more active management** in a mid-cycle transition, as higher market dispersion should create greater opportunities for active sector and stock selection, particularly as leadership within equities evolves.

What are the implications of higher equity market volatility?

A more uncertain political backdrop and potentially maturing growth rates in certain market segments may contribute to more frequent bouts of market volatility. Higher volatility presents an opportunity to use structured strategies to gain exposure to equities. Such strategies may be used to generate income or to gain exposure at a discounted entry price. Investors can also consider strategies that are structured to return principal or partial principal at maturity.

What alternative strategies are suited to a regime of moderating equity market returns?

Investors can consider alternative strategies such as hedge fund strategies or private markets, for those with the capacity

Our opportunistic ideas have a more defensive stance on average

Equity opportunistic ideas

Idea	Inception date
Global High Dividend	18-Jun-26
*US Healthcare	12-Oct-26
*MSCI Switzerland	29-Oct-26
Euro Area Banks	27-Aug-26
Japan Banks	18-Jun-26

Source: Standard Chartered. *New idea

We expect returns for global equities to moderate from the 15-20% annualised gains seen in the last few years

Annual returns for MSCI AC World index



Source: FactSet, Bloomberg, Standard Chartered

to accept some illiquidity.

Equity long/short hedge fund strategies would retain growth participation with less market exposure. Fund managers buy companies they expect to outperform and short those they expect to underperform, seeking to earn the difference between the two, and benefit even as total equity market returns are moderating.

Within private markets, private equity provides a means to higher returns with the effects of an illiquidity premium. Meanwhile, infrastructure offers differentiated exposure to structural growth opportunities, where contracted long-term revenues reduce dependence on equity-market sentiment.

What are the implications on fixed income and FX markets?

Bonds: This year's surge in bond yields means bonds now offer a hedge against any equity market weakness. We believe the 3-7-year part of the US bond yield curve offers the best hedge against any equity sell-off caused by AI-related growth worries. This part of the bond curve has priced in most Fed rate hike expectations, which could reverse if growth concerns return. Meanwhile, we favour US Treasury Inflation-Protected Securities (TIPS) as a hedge against any fuel price-led inflation scare.

Credit: For corporate bonds, adopting a defensive stance in a volatile environment typically involves: i) increasing credit quality, favouring higher-rated issuers; and ii) moving up the capital structure, by reducing exposure to subordinated debt and favouring secured debt. From a sector perspective, large, diversified banks, utilities, and quasi-sovereigns tend to be more defensive, particularly relative to cyclical sectors, such as metals and mining, exploration, and technology.

FX: We favour bearish AUD/JPY as a tactical hedge against any equity market correction. Review of 21 past S&P500 correction sessions (2010-2025) shows AUD weakened against USD in 86% of cases, while JPY strengthened against USD in 67%, supporting our bearish AUD/JPY outlook during any equity market stress.

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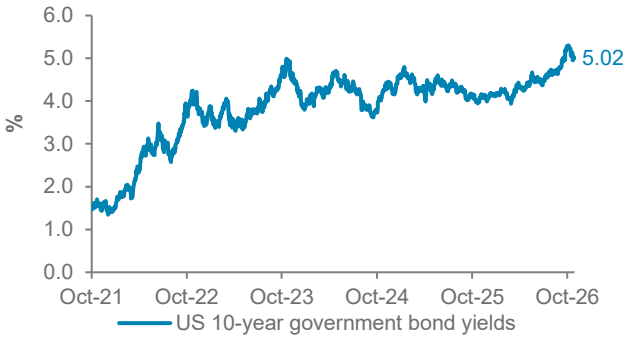
— Jonathan Liang, CFA, *CIO, Fixed Income & FX*

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The surge in bond yields this year means bonds now offer a hedge against any equity market weakness

US 10-year government bond yields



Source: Bloomberg, Standard Chartered

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